revert. Other investors may choose to succumb to fads and whims and rumors, but investors who hang in there will win out in the long run.

Or will they? The lesson of history is that norms are never normal forever. Paradigm shifts belie blind faith in regression to the mean. This is precisely the problem with which Alan Greenspan is now wrestling: Has the long and reliable relationship between M2 and nominal GNP finally crumbled, or is the current disturbance just an anomaly? Here is another: For 170 years, the highest-quality long-term bonds in the United States yielded an average of 4.2 percent within a standard deviation of only a percentage point. In 1970, yields broke through the old upper limits and started heading for 7 percent. Investors stared: How could they decide whether this was a blip or a new era? And then there was the moment in the late 1950s when the dividend yield on stocks slipped below bond yields. Again, investors back then had no handy rules to tell them whether this totally unexpected development was a fundamental shift in market structure or just a temporary aberration that would soon correct itself, with the "normal" spread of stocks yields over bond yields reestablishing itself.

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*When people talk about the long run, they are really saying that they can distinguish between the signal and the noise. Yet the world is a terribly noisy place.*

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John Maynard Keynes, who knew a few things about investing, probability, and economics, took a dim view of the idea that you can look through the noise to find the signal. In a famous passage, he declared that: